TEACHER GUIDE

Cambridge International AS & A Level Business (9609)

# Promotion

3 Marketing (AS Level)
**3.3 The marketing mix · 3.3.5 Promotion methods**



A revision lesson. Pupils run a car dealership in firms of four and revise promotion on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

**45-minute setting**

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

### EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

### LESSON SETTINGS

| 30 min | 45 min | 60 min | 75 min |
|---|---|---|---|

# What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



## CEO

**Staff · Sabotage** from Round 2



## Finance

**Capital & Loans · Investments**



## Sales & Marketing

**Marketing**



## Operations

**Seasonal stock**

# Topic tasks

Each firm gets its own figures. The method is the same.

## 1 Ad return as %

Round 1

Was the advert worth it?

**Profit from the advert, as % of its cost?**

| | |
|---|---|
| The advert costs | **£3,500** |
| Extra sales from it | **7 cars** |
| Margin per car | **£1,225** |

**ANSWER**

**145%**

(7 × £1,225 − £3,500) ÷ £3,500 = 145%

**Why:** Every £1 spent on the advert brought back £2.45.

## 2 Judge the campaign

Round 1

You must judge an online advert campaign.

**Which two measures show its value best?**

- **A** Number of likes
- **B** Cost per sale
- **C** How many people saw it
- **D** Number of clicks
- **E** Profit from the sales it brought

**ANSWER**

**✓ Cost per sale**
**✓ Profit from the sales it brought**

**Why:** Value is in sales and profit; clicks and views do not pay the bills.

## 3 Return on spend

Round 2

Three campaigns: what each cost, and the contribution it brought.

**Order by return on spend, highest first?**

- **A** £1,000 spent, brings £1,600
- **B** £2,500 spent, brings £3,500
- **C** £500 spent, brings £1,000

**ANSWER**

1. **£500 spent, brings £1,000**
2. **£1,000 spent, brings £1,600**
3. **£2,500 spent, brings £3,500**

**Why:** Return: 100%, 60%, 40%. The biggest profit in pounds has the lowest return.

# Topic tasks

## 4 Enquiries to profit

Round 2

Enquiries from an advert.

**Profit from the advert?**

| | |
|---|---|
| The advert costs | **£3,475** |
| Enquiries it brings | **30 plain** |
| Conversion rate | **20%** |
| Margin per car | **£1,830** |

**ANSWER**

**£7,505**

20% × 30 = 6; 6 × £1,830 – £3,475 = £7,505

**Why:** A 20% conversion turns 30 enquiries into 6 sales.

## 5 Answer a price cut

Round 3

Your firm is known for the best service in town. A rival cuts its prices by 10%.

**How should you respond, and why?**

**A** Promote your service, keep prices

**B** Match the 10% price cut

**ANSWER**

**✔ Promote your service, keep prices**

**Why:** A price war cuts every margin; promoting what makes you different keeps loyal buyers.

## 6 Best advert return

Round 3

Which pays back more?

**Higher of the two: profit as % of cost?**

| | |
|---|---|
| Radio advert, 70 enquiries | **£4,500** |
| Social advert, 40 enquiries | **£4,500** |
| Conversion rate | **10%** |
| Margin per car | **£2,025** |

**ANSWER**

**215%**

Radio 215%, social 80%

**Why:** Compare return on spend, not just profit.

# Final questions

Each pupil answers 6 final questions on promotion. They come from these 8 questions.

1. Customers choose a dealer over a cheaper rival because of its well-known name, logo and long reputation, not any one feature. What is this?
   ✔ **Its brand**

2. A £6,000 social media campaign brings 240 enquiries. What is the cost per enquiry?
   ✔ **£25**

3. A promotion budget of £36,000 is split 45% digital, 30% local radio and the rest events. How much goes to events?
   ✔ **£9,000**

4. A campaign cost £15,000 and led to 60 extra sales at £400 profit each. What is the campaign's net return?
   ✔ **£9,000**

5. A dealer offers a free first service with every used car bought this month. Which promotional method is this?
   ✔ **Sales promotion**

6. A dealer's open day is reported free of charge by the local newspaper. Which element of the promotional mix produced this?
   ✔ **Public relations**

7. A dealer sells wheelchair-accessible vehicles across the whole UK. Which promotion gives the best reach for the budget?
   ✔ **Targeted online adverts to people searching for them**

8. A dealer group has just rebranded. Its first campaign aims to make people recognise the new name. Which promotional objective is this?
   ✔ **Raising awareness**